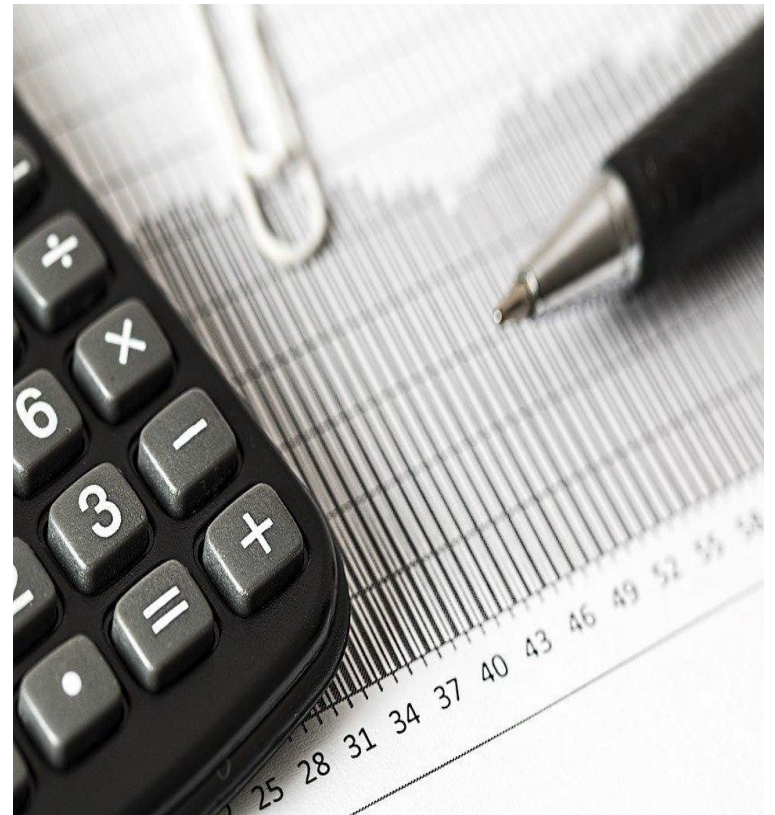


CHELAN COUNTY ASSESSOR
DEANNA WALTER

TAXING DISTRICT LEVY WORKSHOP

SEPTEMBER 15, 2022



AGENDA

- Welcome!
- Overview of workshop
- Introductions
- Workshop content – *use of examples*
 - Definitions
 - Types of Levies
 - Rate Based vs. Budget Based
 - Levy Limits
 - Banked Capacity
 - Refunds
 - Ballot Measures
 - Property Tax Calendar vs. Elections Calendar
- How to calculate a levy rate
- How to calculate a levy amount (\$)
- Why do we never get exactly what we budgeted or was certified as part of the levy process?

Department of Revenue
Property Tax Levy Manual

https://dor.wa.gov/sites/default/files/legacy/Docs/Pubs/Prop_Tax/LevyManual.pdf

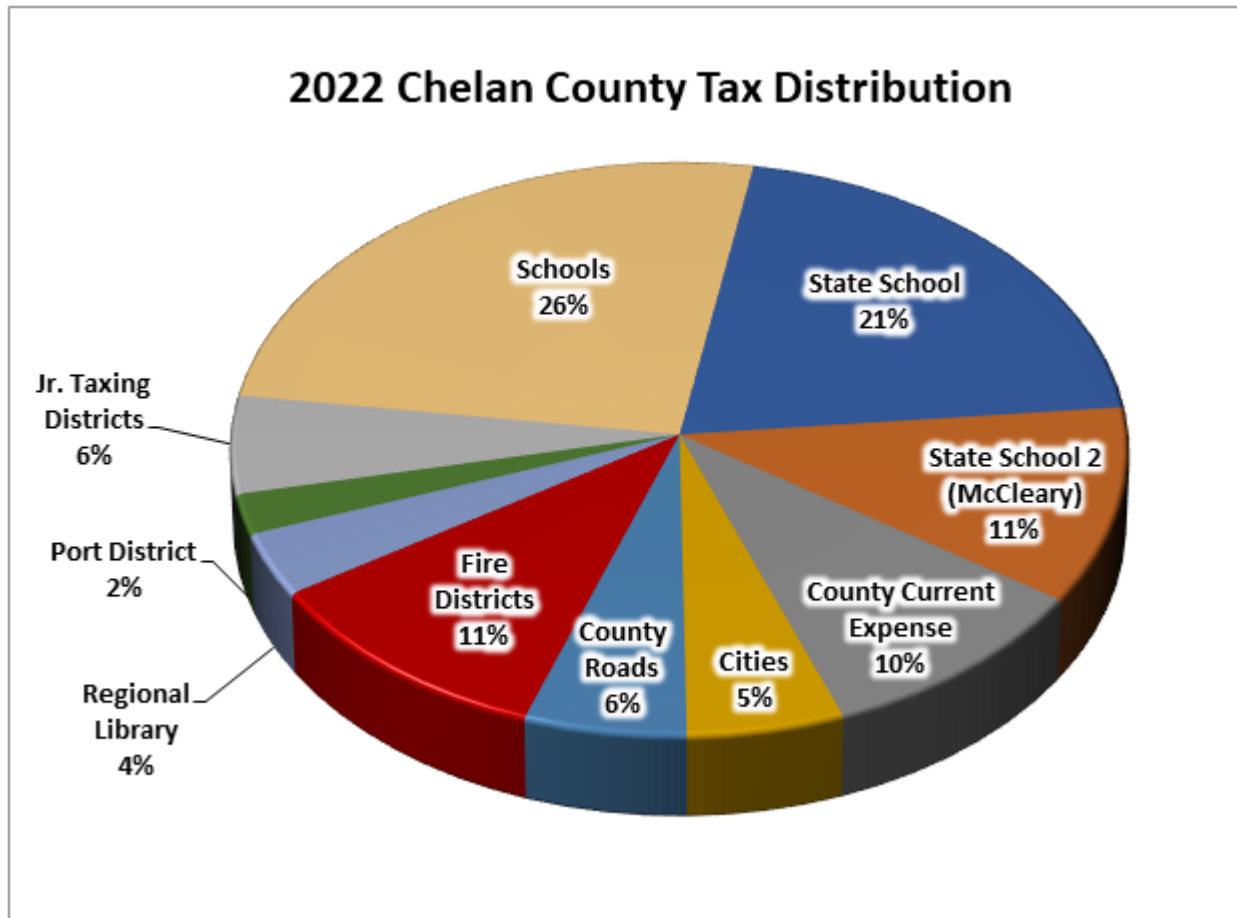
Levy Forms

<https://dor.wa.gov/get-form-or-publication/forms-subject/property-tax-forms#Levy>

RCW 84.52

RCW 84.55

TYPICAL PROPERTY TAX BILL DISTRIBUTION



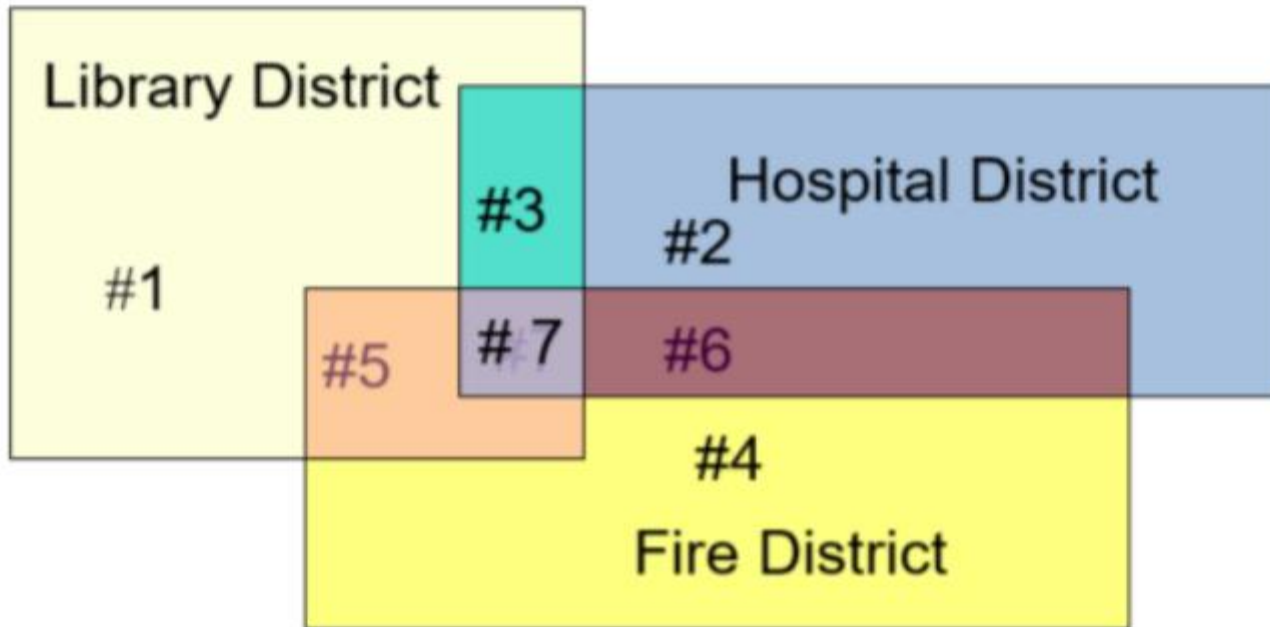


DEFINITIONS

&

TERMINOLOGY

TAX CODE AREA (TCA)





STATE LEVY

Financial support of common (public) schools of the State of Washington

***Earmarked funds*

LOCAL LEVY

Financial support of LOCAL taxing districts providing public services



ASSESSED VALUE

Total value of all real and personal property (in taxing district)

TAXABLE ASSESSED VALUE

Total value of all real and personal property, LESS authorized exemptions
ex: senior exemptions, farm & ag exemptions, single family improvement exemptions, multi-family exemptions (cities), head of family exemptions, historic property exemptions, DFL/timber exemptions, PBRs open space exemptions, DOR exemptions, public entity exemptions

LEVY RATE / MIL RATE

\$ amount per \$1000 of total Taxable Assessed Value

NEW CONSTRUCTION (NC)

New value added to the tax rolls as a result of improvements to real property. This includes, new homes, additions, remodels, tenant improvements, outbuildings, etc. These structures are added to the tax rolls as a % complete, as of July 31st every year. It could take several years to get to 100% complete. This value is a “bonus” to the taxing districts, based on last years levy rate, and is in addition to the 1% increase allowed by statute. Omitted “discovered” property is not technically considered NC

STATE ASSESSED UTILITIES (SAU)

Value of business activities that cross jurisdictional lines (County or State). This is calculated as the delta between last year and this year (if there was an increase) x last years levy rate. We get these numbers from the DOR.



PERSONAL PROPERTY

Business equipment such as computers, desks, kitchen equipment, furniture, etc
Machinery & Equipment (M&E) such as large semi-permanent fixtures are added as real property to the real property account, however neither regular PP or M&E are ever considered NC

OMITTED PROPERTY, NEWLY DISCOVERED

Real property that is discovered in the regular revaluation inspection cycle. This is included on the tax rolls, but not included in the new construction “bonus”.
Without building permit issuance, we wouldn’t know to pick it up for NC.

TYPES OF LEVIES

REGULAR

Authorized by statute and may include non-voted bond debt
County, City, Library, Port, Fire, etc

VOTED-IN REGULAR

EMS, Parks & Rec, Lid Lifts

VOTED-IN EXCESS

School M&O, bonds, cap projects, technology, cap facilities



RATE BASED LEVY

Levy with a set RATE that results in a noticeable increase or decrease in revenue/funds directly related to an increase or decrease in total taxable assessed value

Ex: State 2 Levy, Levy Lid Lift

BUDGET BASED LEVY

Levy with a set budget (revenue/fund). There is an inverse relationship with the rate and the total taxable assessed value

LEVY LIMITS

<u>Highest Lawful Levy (HLL)</u>	highest levy (\$ amount) since 1985 + NC and SAU
<u>Statutory Maximum</u>	every taxing district has a statutory maximum { <i>chart included on flash drive</i> }
<u>Budget</u>	Resolution and Levy Certification submitted by District
<u>Last Year Actual Levy + 1%</u>	plus NC and SAU
<u>\$5.90 & 1% Constitutional</u>	this is where prorationing occurs

Highest Lawful Levy Limit

Levy Information

Levy: 693041 Wenatchee General Budget: 4,739,922.20
Statutory Rate: 2.1719280929 Statutory Limit: 9,562,609.56
Taxable: 4,402,820,511 Senior Taxable: 58,848,450

Highest Lawful Levy Calculation Elements

Select the Levy to use as the Highest Lawful Levy Since 1985:

Highest Lawful Levy Since 1985 36 years

Levy Year: 2020 Highest Lawful Levy: 6,545,137.24 Limit Factor: 1.0100000000
Last Year's Levy Rate: 1.0897599184
☐ Lid Lift: Voted Levy Rate: Term: Voted Levy:
Voted Factor: ☐ Senior Ex

Combined or Voted Levy	Levy Amount	Received Capacity	Received from Levy	Total
▶ Highest Lawful Levy	6,663,950.28	0.00		6,663,950.28

Calculate Highest Lawful Levy

Actual Levy Calculation Elements

Last Year's Levy: 4,305,770.39 % Increase: 1.098016000 OR
☒ Amount to be Refunded 12,117.07
☐ Amount Recovered
☐ Amount of Shift/Diversion 0.00
Reason:
☐ Levy Corrections for a Prior Year
Correction Amount: Levy Year:
Banking Capacity: 1,924,028.08 Shift to Levy: Select Levy

Calculate Actual Levy

Calculated Levy: 4,739,922.20
Levy Rate: 1.0765649402

BANKED CAPACITY

The difference between the Highest Lawful Levy (HLL) that could have been collected and the actual levy that was imposed

****This is NOT cumulative**

****It is USE IT OR LOSE IT in the following year**

****Not collecting it does NOT impact your HLL calculation**

REFUNDS

Administrative delta between supplements and cancellations

Supplements – additions to the assessment roll after certifying the values

Ex: omitted property, settlement of Highly Disputed Properties

Cancellations – reductions in the assessment roll after certifying the values

Ex: any exemptions, BoE & BTA settlements/stipulations, manifest errors, destroyed property

****this is why there is a difference between the numbers we give you in our preliminary letters and the numbers we use for the actual levy run****

Adjudicated court resolved judgements

LEVY CERTIFICATION

This is the \$ amount certified by the taxing district for collection, as a result of a duly advertised public hearing of the governing board for the district where the Resolution is signed. Doesn't need to be signed by the Board members/commissioners, but needs to be submitted by November 30th to the County legislative authority (BoCC). The Levy Certification is required for us to levy for collection.

Exception: Lid Lift may warrant the voter approved rate instead of the \$ amount

RESOLUTION

Signed by the governing board identifying the district budget and amount to be collected. The Resolution is required to be submitted with the Levy Certification for us to levy for collection.

Exception: Lid Lift requires certification of an approved ballot measure by the District Board in lieu of the Resolution

TYPE OF LID LIFTS (RCW 84.55.050)

Temporary – two sets of books with reversion

Permanent – becomes the basis for which future levy calculations are made

Rate-based the first year (or up to 6 years based on ballot language), budget based after that

***my cautionary statement: careful to not push to your stat max – you will lose revenue/funds if the AV goes down*

What to submit with your Levy Certification?

BALLOT MEASURES

TIMELINES – Nov. is too late to collect for following year (Feb, April, Aug)

BALLOT LANGUAGE – the ballot language belongs to the County

Prosecutor, but is typically drafted by the District or their legal counsel

** *Reinstate*

** *Renew*

** *Re-establish*

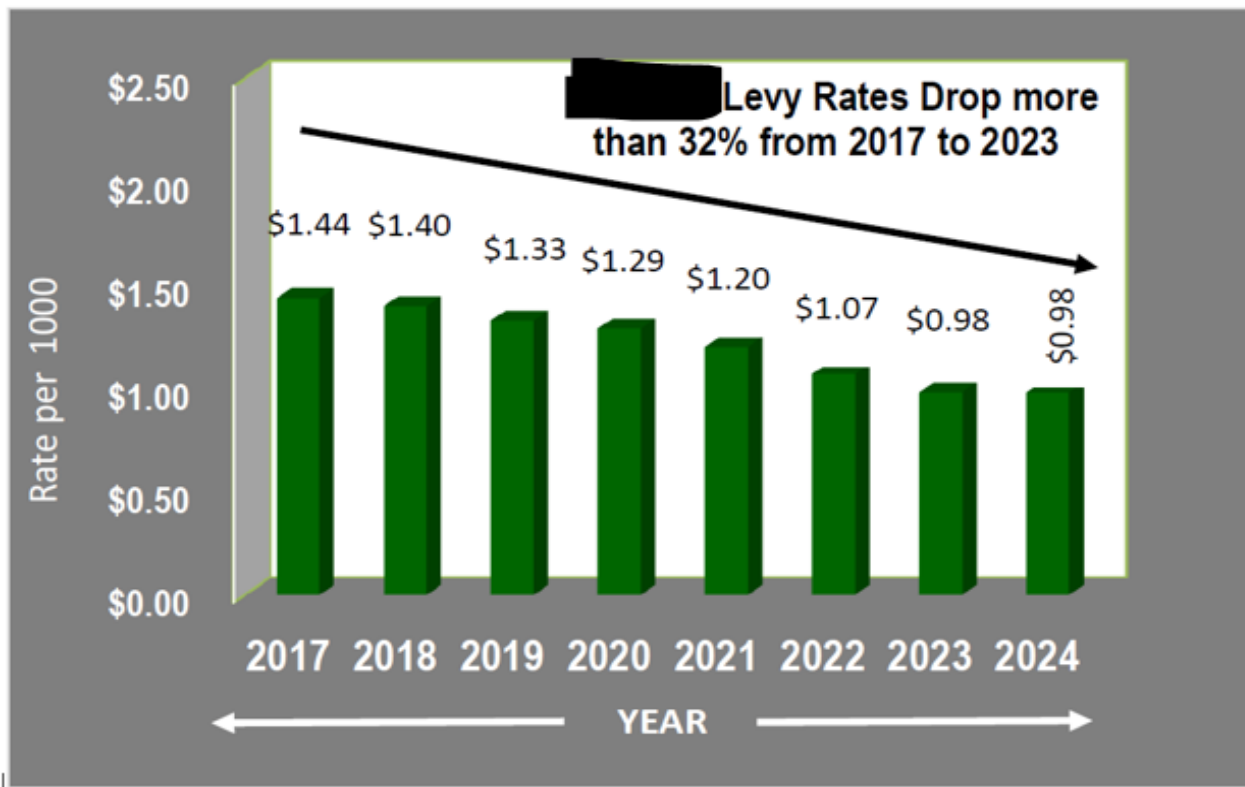
** *Replace*

** *Up to*

If it is not clear to me – it will be even more confusing to the public. Strive for transparency.

PUBLIC INFO SHEETS/BROCHURES

- The replacement levy will provide the same funding at a lower cost (see graphic below).





PROPERTY TAX CALENDAR VS. ELECTION CALENDAR

(enter Skip Moore, County Auditor)

DISTRICT BOARDS AND ELECTIONS

ANNEXATIONS – timing and collections

New BRB formed – working on Rules and Procedures and Notice of Intention



\$5.90 & CONSTITUTIONAL 1% LIMITS (included on flash drive)

\$5.90 = regular levies less State, Port & Voted-In Excess levies

Const 1% = regular levies less Port & Voted-In Excess Levies

PRORATIONING ORDER

Taxing Districts:

SENIOR = State, City, County, County Roads

JUNIOR = All other taxing districts (Port is neither)



Banked capacity after a ballot measure

Refunds after ballot measure/lid lifts

Chart of what % is required for each type of ballot measure

Who pays which levies?

Why do we never get exactly what was certified for the levy collection?

How to calculate a levy rate

How to calculate a levy amount

QUESTIONS?

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